

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 16-16

MAVL CAPITAL, INC., IAM & AL GROUP, INC., and MAXIM OSTROVSKIY

(Complainants)

v.

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER

(Respondents)

**REPLY TO COMPLAINANTS' EXCEPTIONS TO THE
JANUARY 17, 2017 INITIAL DECISION**

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I. PRELIMINARY STATEMENT.

This Reply is submitted on behalf of Respondent Marine Transport Logistics, Inc. (hereinafter, “Respondent” or “MTL”), in reply to Complainants’ February 8, 2017 Exceptions to the January 17, 2017 Order by Administrative Law Judge Clay G. Guthridge (“ALJ Guthridge”) partially dismissing Complainants’ Complaint in the instant Federal Maritime Commission proceeding. On October 3, 2016, ALJ Guthridge *sua sponte* issued an Order directing Complainants to show cause as to “why the allegations in their Complaint regarding the 2006 Mercedes SL65 and [the Harley Davidson motorcycles] should not be dismissed for lack of subject matter jurisdiction or for failure to state a claim upon which relief can be granted.” FMC No. 16-16, October 3, 2016 Order.

After a response by Complainants and separate submissions in opposition by MTL and respondent Dimitry Alper [the latter represented by separate counsel], ALJ Guthridge ruled, *inter alia*, that Complainants: (1) failed to allege facts showing the existence of a contract of carriage for international transportation by water of the 2006 Mercedes SL65 (hereinafter, the “Mercedes”); (2) that MTL did not act as a common carrier subject to Shipping Act jurisdiction for the Mercedes; and (3) that accepting Complainants allegations as true, Complainants have alleged only a domestic conversion by MTL, without any Shipping Act implications.

Respondents Appendix “1”, ALJ January 17, 2017 Initial Decision Partially Dismissing the Complaint in *MAVL Capital, Inc., et al. v. Marine Transport Logistics, Inc., et al.*, FMC No. 16-16 (hereinafter, the “Initial Decision”), at pp. 13, 14, 18-20.

As discussed herein, Complainants’ Exceptions do not factually or legally contradict ALJ Guthridge’s well-reasoned Initial Decision, and consequently, the Commission should approve and affirm the January 17, 2017 Initial Decision in its entirety.

II. **THERE WAS NO CONTRACT OF CARRIAGE, EXPRESS OR IMPLIED, BETWEEN THE PARTIES FOR THE INTERNATIONAL OCEAN CARRIAGE BY WATER OF THE MERCEDES FROM THE U.S. TO GERMANY.**

As an initial and dispositive matter, the Initial Decision found that the record “does not contain evidence of a contract between the parties for international ocean carriage of the Mercedes to Germany, e.g., the agreed upon cost of ocean freight, agreed upon date of shipment, estimated date of arrival, port of loading, port of unloading, port or point of delivery.” Resp. Appx. “1”, at pp. 14-15. Indeed, the absence of a contract of carriage for international ocean carriage of the Mercedes vitiates *all* of Complainants’ theories of Shipping Act or Commission jurisdiction. See 46 U.S.C. § 40102(6)(applying the Shipping Act to common carriers that “provide transportation by water of . . . cargo between the United States and a foreign country for compensation [and] assume [] responsibility for the transportation . . .”)

Complainants did not present the necessary evidence of a contract to ALJ Guthridge because a contract of carriage did not exist. Having seemingly conceded that an *express* contract of carriage did not exist, Complainants now argue to the Commission that a contract of carriage was “implied.” See Exceptions, at p. 15. However, this argument still fails, as also noted by ALJ Guthridge, because Complainants have not and cannot allege the necessary facts to establish a *prima facie* “implied” contract.

A. **An “implied” contract must contain the objective formalities of intent to contract, consideration, and offer and acceptance.**

Complainants concede that an “implied” contract only exists when there is (1) mutuality of intent to contract; (2) consideration; and (3) lack of ambiguity in offer and acceptance. City of El Centro v. U.S., 922 F.2d 816, 820 (Fed.Cir. 1990) citing Russell Corp. v. U.S., 210 Ct.Cl. 596, 537 F.2d 474, 482 (1976) cert denied 429 U.S. 1073, 97 S.Ct. 811, 50 L.Ed. 791 (1977). As

Complainants further admit, “in determining whether there is an implied contract, courts must follow an “objective test, i.e., whether a reasonable man would think the parties intended to make such a new binding agreement and whether they acted as if they so intended.” Martin v. Campanaro, 156 F.2d 127 (2d Cir. 1946). Under the standard identified by Complainants, Complainants’ argument fails because there are no allegations or evidence of *consideration*. In addition, Complainants’ arguments for the objective indicia of intent or acceptance are premised on inaccurate interpretations of the facts.

B. No consideration was paid to MTL for an “implied” contract of international ocean carriage.

An implied contract only exists if there is consideration. City of El Centro v. U.S., 922 F.2d 816, 820 (Fed.Cir. 1990). As Complainants admit, an implied contract, though not in writing, “still requires such elements as consideration [and] mutual assent.” Exceptions, at p. 15, citing to Maas v. Cornell Univ., 94 N.Y.2d 87, 93-94, 699 N.Y.S.2d 716, 721 NE.2d 966 (1999)(additional citations omitted).

Complainants have not alleged that consideration was paid for an “implied” contract of international ocean carriage. Complainants’ Exceptions do not even attempt to address the absence of consideration or otherwise (however futilely) argue that consideration is unnecessary. It is not a question of evidence, in this regard, although obviously there is no evidence of consideration, but Complainants have not and cannot even allege a *prima facie* “implied” contract of carriage. This absence of consideration *alone* dooms Complainants’ argument of an “implied” contract of carriage, and without a contract of carriage, ALJ Guthridge is correct that the Commission does not have jurisdiction to adjudicate an allegation of a domestic wrongdoing. Resp. Appx. “1”, Initial Decision, at p. 21. Nothing more needs to be said on this point.

C. **Complainants' interpretation of industry custom and practice do not withstand close scrutiny, and, in any event, are ultimately immaterial because the lack of consideration requires that the Commission affirm the Initial Decision.**

As stated, the lack of consideration, standing alone, requires that the Commission affirm ALJ Guthridge's finding that there was no contract of carriage, express or implied.

Complainants' remaining arguments and interpretations of industry custom and practice are, thus, immaterial. Nevertheless, Complainants' interpretations of industry custom and practice cannot withstand close scrutiny.

1. MTL's receiving authorization to export other vehicles by telephone, in e-mail, or by course of conduct, does not establish that a booking or contract of carriage existed for the Mercedes.

Complainants' inaccurate portrayal of the record begins is seen in its characterization of MTL's answers to Interrogatories in litigation brought by Complainants (there as plaintiffs), captioned *MAVL Capital, Inc. v. Marine Transport Logistics, Inc., et al.*, Civil Action No. 13-cv-7110 (hereinafter the "E.D.N.Y. Litigation."). At issue in the E.D.N.Y. Litigation was whether MTL had "authorization" to export certain vehicles which had *actually* been exported. See Resp. Appx. "2", Complaint filed in E.D.N.Y. Litigation, at ¶¶ 58-59 ("Pursuant to U.S. customs export regulations, only a forwarding agent may represent a USPPI in an export transaction, and must obtain a power of attorney or other written authorization in order to act on its behalf.") Explicit and implicit in the E.D.N.Y. Complaint, was Complainants' allegation that MTL was acting *without authorization* for vehicles that had already been exported; this is the only logical allegation, because MTL would not yet need authorization for a vehicle (e.g., the Mercedes) that had not yet – or never would be – exported.

In addressing this issue, MTL answered Interrogatories stating that such authorization had been given by Complainants, both orally and in writing. The full text of MTL's response, which Complainants did not provide to the Commission, was that:

Authorization for the export of the vehicles was given by plaintiffs orally and in writing via e-mail, as seen in the email correspondence previously attached as part of defendant Aleskandr Solovyev's Affidavit in Opposition to Plaintiff's Order to Show Cause, e.g.: the June 11, 2013 email from plaintiff for the 2004 Bobcat S205 and 2010 Bobcat S185, April 18, 2013 email from plaintiff for the 2011 Porsche Panamera VIN#7399, and implied consent has been given from the course of conduct moving vehicles between plaintiff and MTL.

Compl. Appx. "2", at pp. 3-4.

MTL's above response, both on its face and in the context of the E.D.N.Y. Complaint, clearly refers to "authorizations" for export; not the booking of shipments for export, and further identifies specific written authorizations in the form of e-mails for exported vehicles. However, the Initial Decision speaks to the absence of evidence evidencing an intent, offer, acceptance, and consideration for the export, in the first instance, of the *Mercedes*. In the context of the instant proceeding, whether MTL has received "authorizations" for export orally and in writing by e-mail on other vehicles is irrelevant. The burden is on Complainants to show that a booking was made for the *Mercedes*, and ALJ Guthridge correctly found that Complainants had failed to meet this burden.

2. MTL's possession of the title, whether as a warehouseman, or as part of their acknowledged responsibility in clearing the *import* shipment (performed by a third-party carrier) with U.S. Customs, does not evidence an intent for MTL to act as a common carrier.

Complainants next argue that MTL's possession of the title and offer of 30 days free storage for the Mercedes evidences the offer, acceptance, and consideration necessary to form a contract of carriage. Clearly, if nothing else, assuming that Complainants did deliver a title to MTL (and not that the title was received by MTL as part of its responsibilities in clearing the import of the Mercedes with U.S. Customs), it still would not satisfy the requirement of consideration. Likewise, MTL's alleged offer of 30 days free storage also would not be consideration to MTL. Furthermore, there is at least no dispute that MTL was, at that time, in lawful possession of the Mercedes pursuant to Complainants' request. The delivery of the title to MTL, under such circumstances, does not necessarily establish a contract of carriage with MTL, because the title would need to be passed on to whomever received the Mercedes once the storage concluded. ALJ Guthridge, in the Initial Decision, correctly dismissed these arguments and the Commission should now do likewise.

3. The disputed existence of a lien, whether warehouse, maritime, or otherwise, does not convert this claim into a Shipping Act claim.

Complainants' argument regarding the lien is difficult to understand. Complainants and ALJ Guthridge are apparently in agreement that no maritime lien exists for the Mercedes. Resp. Appx. "1", Initial Decision, at p. 17 ("it does not appear that MTL has a maritime lien on the Mercedes"); Resp. Appx. "4", M. Ostrovskiy April 9, 2014 (E.D.N.Y.) Aff., at ¶ 4 ("no basis for defendants to exercise a maritime lien.") Despite which, Complainants are now arguing that MTL's non-maritime lien simultaneously created a maritime contract of carriage for the Mercedes or imparted maritime jurisdiction. This argument, of course, is contrary to the law and

standard applicable to Complainants' claim. ALJ Guthridge accepted as true Complainants' allegation that no maritime lien exists. Resp. Appx. "1", Initial Decision, at p. 5, citing Sinaltrainal v. Coca-Cola Company, 573 F.3d 1252, 1260 (11th Cir. 2009). The absence of a maritime lien, as alleged by Complainants, only further removes this claim from Commission jurisdiction and in any event, it again bears repeating that whether a maritime lien existed or not would not permit Complainants to overcome the lack of consideration necessary in an "implied" contract of carriage.

III. ADDITIONAL DISCOVERY WOULD NOT CREATE A CONTRACT OF CARRIAGE, EXPRESS OR IMPLIED.

Having failed to allege the facts necessary to show that the Mercedes was the subject of a contract of international ocean carriage, Complainants predictably argue that additional "discovery is needed." Exceptions, at 31. However, this is not a typical case, and the Commission should take notice that Complainants also alleged a Shipping Act claim in the ongoing E.D.N.Y. Litigation, for which Complainants already conducted discovery.¹ The significance of this point, which Complainants failed to make clear to the Commission, is that Complainants *already* conducted discovery on its claim of a Shipping Act violation in the E.D.N.Y. Litigation, including if it believed it had a Shipping Act claim for the Mercedes, and it

¹ Complainants characterized the E.D.N.Y. Litigation as one, "wherein the plaintiffs (i.e., Complainants here) "have alleged causes of action against respondents herein and other sounding in fiduciary duty, conversion, civil conspiracy, tortious interference with business relations, violations of the New York Consumer Fraud Act (General Business Law §349), common law fraud, and violations of the RICO statute." See Exceptions, at p. 6-7. In fact, Complainants identify every cause of action alleged in the E.D.N.Y. Litigation *except* for "Count I: Violation of the Shipping Act of 1984." Resp. Appx. "2", Complaint in E.D.N.Y. 13-cv-7110. The omission of the Shipping Act count appears designed to give the Commission the impression that Complainants *did not already* have ample opportunity to conduct discovery on its alleged Shipping Act claim, including with regard to the Mercedes.

goes without saying that Complainants had every incentive to be diligent in its discovery, or risk the same failure of proof in the E.D.N.Y. Litigation.²

Moreover, as ALJ Guthridge noted, Complainants did not allege any *facts* showing “the agreed upon cost of ocean freight, agreed upon date of shipment, estimated date of arrival, port of loading, port of unloading, port or point of delivery.” Resp. Appx. “1”, at p. 14. As discussed above, there are also no facts showing any consideration for an “implied” contract of ocean carriage. These facts, if they existed, are facts that are clearly within the possession, knowledge, and purview of Complainants, and necessarily would have been disclosed in discovery during the E.D.N.Y. Litigation by Complainants. The Complainants’ inability to present any such evidence, in spite of ALJ Guthridge’s Show Cause Order, is telling. Granting Complainants’ request for additional discovery would not add anything to the record, and serves only to waste the Commission’s resources and to vex Respondents and needlessly increase the costs of Respondents’ defense in this proceeding.

IV. COMPLAINANTS’ PRIMA FACIE ALLEGATIONS OF CONVERSION REMOVE THIS CLAIM FROM SHIPPING ACT AND COMMISSION JURISDICTION.

Due to the absence of a contract of carriage, the Initial Decision correctly recognized that Complainants’ allegations allege a *prima facie* case of conversion by MTL, while the Mercedes was stored domestically at the MTL warehouse.³

² Respondents point out to the Commission, in this regard, that after the close of discovery in the E.D.N.Y. Litigation and upon motion filed by defendants in the E.D.N.Y. Action, the Complainants/plaintiff’s Shipping Act claim was subsequently dismissed for lack of subject matter jurisdiction. However, this subsequent dismissal after the close of discovery did not affect Complainants’ pre-dismissal discovery to support its Shipping Act claim.

Complainants' own allegations, and repeated prior sworn-to testimonies, have thus, established that there is no Shipping Act or Commission jurisdiction. In an effort to overcome this dilemma, Complainants have engaged in what can only be described as revisionist history, and attempted to rewrite the facts. Unfortunately for Complainants, ALJ Guthridge already *accepted* as true Complainants' latest reiteration of the facts, and still correctly found that *if* a conversion occurred as alleged, it occurred only while MTL was acting as a domestic bailee, and not as a common carrier.

A. **Complainants' sworn-to prior testimony was that MTL was only hired to store the Mercedes pending a domestic release of the Mercedes to Complainants.**

In order for the Commission to have a full picture of the changing of facts by Complainants in this regard, Respondents provide below the relevant sections of Complainants' prior contradictory testimony. In the E.D.N.Y. Litigation, Complainant alleged that MTL was hired only to store the Mercedes, for release to Complainants domestically. Complainants' sworn-to testimony, in the form of pleadings and affidavits submitted to the Eastern District Court of New York, were repeated and unequivocal on this point. Complainant's sworn-to testimony, included:

- Allegations in the E.D.N.Y. Complaint that, "MAVL requested that MTL unload the [Mercedes] from the port of New York and bring it to MTL's warehouse for plaintiff to retrieve it."

Resp. Appx. "2", at ¶ 79.

³ To avoid any misunderstanding by Complainants or their counsel, MTL does not agree or concede that a conversion took place and MTL expressly and specifically reserves all rights and defenses with respect to any claim of wrongdoing or conversion. Nor did ALJ Guthridge rule that a conversion occurred; the only issue and relevant ruling by ALJ Guthridge is that "accepting the factual allegations in the Complaint and the Ostrovskiy Certification as true, it appears that while operating as a bailee under New Jersey law storing Complainants' Mercedes, MTL committed the tort of conversion." Resp. Appx. "1", at p. 19. In other words, ALJ Guthridge found that Complainants had *alleged* the tort of conversion, not a Shipping Act claim, but ALJ Guthridge did not find that a conversion had *actually* occurred and the issue of whether a conversion had actually occurred was not before ALJ Guthridge.

- Testimony that, “As the court may recall, I hired the defendants to receive this vehicle from another shipper that had shipped it from overseas, and I specifically requested that the defendants store it on my behalf.”

Resp. Appx. “4”, M. Ostrovskiy April 9, 2014 (E.D.N.Y.)
Aff., at ¶ 3.

Though not yet directly contradictory, it is odd that Complainants allege now that they requested for MTL to *temporarily* store the Mercedes so that maintenance could be performed on the Mercedes and the Mercedes could be *shipped back* to Germany. See FMC Complaint, at ¶¶ 27-29. This version of the facts is not mentioned in the above affidavits submitted in the E.D.N.Y. Litigation, and, as with the other missing necessary facts, these are not facts that Complainants needed to uncover through discovery, but are facts that would always be within the knowledge of Complainants (to the extent that the facts are true.) Moreover, Complainants had previously gone further, and alleged under penalty of perjury as follows:

- Furthermore, the defendants have unlawfully sold this vehicle as ***there was never a bill of lading issued by the defendants for this vehicle at my request*** (because defendants did not ship it, ***they only stored*** it, as proven by the Entry Summary in Exhibit "A" [omitted] which establishes that this vehicle was owned by MAVL), and thus no basis for defendants to exercise a maritime lien.

Resp. Appx. “4”, M. Ostrovskiy April 9, 2014 (E.D.N.Y.)
Aff., at ¶ 4 (emphasis added).

Complainants’ prior testimony is quite clear, and in fact is insistent, that MTL was hired only to store the Mercedes, not to ship it, and is insistent that there was never a bill of lading issued at Complainants’ request. Significantly, the 2013 and 2014 pleadings and affidavits in the E.D.N.Y. Action do not allege anywhere that Complainant “contracted” with MTL for the export of the Mercedes from the U.S. to Germany, and, as already discussed, there is clearly no evidence or

facts to show that such a contract of carriage existed. Consequently, ALJ Guthridge correctly held that the FMC did not have jurisdiction over MTL, as a common carrier, because MTL did not “assume responsibility for transportation” of the Mercedes. Resp. Appx. “1”, at p. 7.

B. Complainants’ allegation of a June 2013 demand and refusal to release the Mercedes is a *prima facie* allegation of a conversion.

Because MTL did not act and was not engaged as a common carrier for the Mercedes, any conversion, if it occurred as alleged, must have occurred domestically while MTL was acting “only to store” the Mercedes. This finding by ALJ Guthridge is further supported by the above sworn-to statements by Complainants in the E.D.N.Y. Litigation. Complainants’ prior sworn-to statements were that, “on or about June 1, 2013, MAVL visited MTL’s storage site to obtain possession of the vehicle and MTL refused to offer any explanation as to the whereabouts of the vehicle” and “to date, MTL continues to refuse to release this vehicle, although its release was demanded by MAVL.” Resp. Appx. “1”, E.D.N.Y. Complaint, at ¶¶ 81-82. This same prior allegation was again confirmed by Complainant in the E.D.N.Y. Litigation, when he affirmed that, “On or about June 1, 2013, I visited MTL’s storage site *to obtain possession* of the vehicle.” Resp. Appx. “1”, M. Ostrovskiy April 9, 2014 (E.D.N.Y.) Aff., at ¶ 20.

Complainants’ prior testimony is, again, consistent in stating that he attempted to obtain a permanent release of the Mercedes to his possession, and MTL “refused to release” the Mercedes to Complainants’ possession. This “demand and refusal” for the release of the Mercedes, as alleged by Complainants, is a *prima facie* allegation of a conversion, without involving any ocean carriage.

C. **Complainants' cited legal authority is inapplicable or incorrect and does not support Complainants' contentions.**

Complainants' allegation that the conversion took place instead "in Dubai" is contrary to legal authority, including to the cases cited by Complainants. In National Union Fire Ins. Co. v. Caribe Aviation, Inc., 759 F.2d 873 (11th Cir.1985), cited by Complainants, the conversion of a plane was alleged to be by a third-party pilot/smuggler (named Marchand), who leased the plane from defendant for a flight from Miami to Orlando, but subsequently flew to the Bahamas and crashed the plane. The Eleventh Circuit Court of Appeals held that the conversion did not occur when Marchand acquired the plane, which was lawfully done, but only during Marchand's subsequent "unauthorized use of the aircraft, culminating in its destruction, [which] constitutes conversion under Florida law." Id. at 878.

Even stretching the application of this case to the instant facts, the Caribe decision would hold that no conversion occurred when MTL acquired the Mercedes, which was lawfully done pursuant to Complainants' request to store the Mercedes, but that a conversion occurred subsequent to the lawful possession when MTL took an action depriving Complainants of the Mercedes by refusing to release the Mercedes in June 2013, when a demand was made for the Mercedes and refused. See Senfeld v. Bank of Nova Scotia Co., 450 So.2d 1157 (1984)("Where a person having a right to possession of property makes demand for its return and the property is not relinquished, a conversion has occurred.")

In arguing against conversion occurring in June 2013, Complainants have misunderstood the relevant case law. In this regard, Complainants inaccurately stated that, "It is well settled that the fact that a demand was made does not necessarily establish that conversion took place when the demand was refused. Demand and refusal do not constitute conversion, but proof thereof is

merely evidence of conversion.” Exceptions, at p. 29, citing to More v. Western Grain Co., 31 N.D. 3691 153 N.W. 976 (1915). But, this is not an accurate statement of the holdings in the cases cited by Complainants, and misstates as their applicability to the pending proceeding.

For example, the Supreme Court of North Dakota, in More v. Western Grain Co., 31 N.D. 3691 153 N.W. 976 (1915) cited by Complainants, addressed only what was required to sufficiently allege of conversion., and noted that a demand and refusal was superfluous when the act of a conversion *had already occurred earlier*. Specifically, More involved a defendant who “purchased the grain [belonging to plaintiff] without knowing that it was stolen.” *Id.* at 71. The theft and sale took place in December 1932 and January 1933. On September 5, 1934 (i.e., more than one year and eight months after the theft and sale), plaintiff “served upon the defendant a demand to settle for the grain . . . with which demand the defendant refused to comply.” *Ibid.* The issue was that plaintiff wanted the benefit of higher grain prices and argued that the conversion did not occur until the September 5, 1934 demand and refusal. The court disagreed, and found that the December 1932 purchase of stolen property was a conversion. In other words, “the demand was *superfluous* and the plaintiff is only entitled to damages based upon the price as of the date of purchase.” *Ibid.* (emphasis added).

More clearly does not support Complainants’ current argument that the alleged June 2013 demand and refusal by MTL to release the Mercedes was, somehow, *not* an alleged conversion. By its very definition, a demand and refusal is “an exercise of dominion over the property inconsistent with, and in defiance of, the rights of the plaintiff to constitute a conversion. Rolette Bank v. Minnekota Elevator Co., 50 N.D. 141, *8 (1923), also cited by Complainants.

Another example of Complainant's inaccurate representation of the case law is seen in Complainants' citation to the Commission of Tucker v. Flanson, 484 So.2d 1370 (1986), cited by Complainants.⁴

In Tucker, the District Court of Appeal of Florida, Third Circuit, expressly held that in affirming the Dade County Circuit Court decision, that:

On the ground that the cause of action "accrued" under section 47.011, Florida Statutes (1985) 1 in Dade County, where the defendant's asserted negligence impacted upon the plaintiff's economic interests, we affirm the order below. ***In so holding, we adopt and apply the rule that, for venue purposes, a tort claim is deemed to have accrued where the last event necessary to make the defendant liable for the tort took place.***

Tucker v. Flanson, 484 So.2d 1370, 1371. (emphasis added).

As seen from the holding, the Tucker court examined a very narrow issue before it, that is, the determination of *geographic* venue pursuant to a specific Florida Statute.

However, Complainants' broad "characterization" of the Tucker holding to the Commission was as that:

With respect to the fixing a ***moment*** when the conversion accrued, the ***general rule applicable here is that a tort claim*** "is deemed to have accrued where the last event necessary to make the defendant liable for the tort took place."

Exceptions, at p. 30.

It is clear that Complainants misrepresented the Tucker holding to the Commission as determining the "time", not location, and as a general rule applicable to all tort claims, as

⁴ Resp. Appx. "5", Tucker v. Flanson, 484 So.2d 1370 (1986),

opposed to the Tucker court's express ruling that its rule was for *venue purposes*. The other Florida court decisions cited by Complainants, including E.J. Sales & Service, Inc. v. Southeast First Nat'l Bank of Miami, 415 So.2d 1153 (1982), are directed similarly to questions of venue (e.g., under Sec. 41.051 Fla. Stat. (1979)) and likewise hold that "[u]nder this provision, a cause of action is deemed to accrue 'where the act creating the right to bring an action occurred.'" Ibid. (emphasis added). Neither decision cites a "general rule" that would support Complainants' argument that the alleged conversion did not occur in June 2013, but only during a *subsequent* sale of the Mercedes.

Complainants' argument also fails a simple logical test: under Complainants' present theory, if MTL had simply continued to refuse to release the Mercedes after the June 2013 demand, would Complainants agree that there was no conversion? Of course not. Thus, MTL's decision, after the alleged conversion, to sell the Mercedes, to destroy it, or to keep it, is inconsequential as to when the conversion occurred.

It is clear from the above examples that Complainants were unable to find any legal authority supporting their argument that Complainants committed "conversion" in Dubai, and thus contrived to find a decision that was "close enough" to cite it out of context. This labored attempt highlights the lack of legal authority supporting Complainants' Exceptions and reinforces that ALJ Guthridge was correct in ruling that, *accepting Complainants' allegations as true*, an allegation was made for conversion in June 2013, without implicating the Shipping Act or involving ocean carriage.

D. Complainants' facts, though they must be treated as true, are illogical and unbelievable and ALJ Guthridge denied any further attempts to alter the factual allegations.

It should further be pointed out that Complainants' FMC Complaint seeks \$39,931.81 in damages based upon "\$25,615.00 paid to purchase this vehicle, \$1000 for shipment from the U.S. to Germany for repairs, \$7,000 expended on repairs of the vehicle in Germany, and \$6,316.81 in freight, U.S. Customs clearance and other charges for shipment of this vehicle back to the United States. See Complaint, Docket No. 16-16, ¶ 36.

Complainants' latest version of the facts would require the Commission to believe and accept the that Complainants purchased a Mercedes in the U.S., exported it to Germany at its cost of \$1,000, incurred \$7,000 in repairs in Germany, imported the Mercedes back to the U.S. at costs of \$6,316.81, and let the Mercedes languish in a warehouse for 6 months incurring storage costs (unpaid by Complainants) of \$900. At which point, Complainants demanded that the Mercedes be released (whether the release is permanent, as repeatedly sworn to by Complainants or temporary, as now sworn to, is not relevant) and MTL *refused* to explain where the Mercedes was, to allow Complainants to take possession of the Mercedes, or to even allow Complainants to view the Mercedes. Complainants would then argue that this *was not* and *did not* "deprive" Complainants of the Mercedes (i.e., constitute a conversion), and instead, Complainants simply accepted the refusal by MTL, did not inspect the Mercedes, but then requested that MTL export the Mercedes back to Germany, where it came from, without making additional repairs or any inspection of the Mercedes. The facts are simply unbelievable and ALJ Guthridge correctly found that any attempts to alter the facts would necessarily contradict the sworn allegations.

E. There was no “misdelivery” to Dubai because there was no “delivery” to be made in the first instance.

Complainants’ argument that the Mercedes was “misdelivered” to Dubai is plainly contrary to its own allegations of a conversion, and contradicted by the absence of any facts or evidence showing that a contract of carriage existed. If MTL converted the Mercedes by refusing to release it on demand, an allegation of conversion under the law, then the Mercedes cannot also be *subsequently* misdelivered. Moreover, the Complainants’ argument for a misdelivery presumes that MTL was obligated to export and deliver the Mercedes correctly, in the first instance, and as ALJ Guthridge correctly found, there are simply no colorable facts to support such a claim.

V. COMPLAINANTS ABANDONED THEIR CLAIM OF AN UNREASONABLE REFUSAL TO DEAL, AND IN ANY EVENT, THE ABSENCE OF A CONTRACT OF CARRIAGE VITIATES THIS CLAIM.

ALJ Guthridge’s finding that “Complainants did not articulate any argument that Respondents violated section 41104(10) of the Act in their response to the Show Cause Order” is beyond dispute. Resp. Appx. “1”, at p. 8. A review of Complainants’ Response and Reply to the Show Cause Order does not turn up any argument concerning Section 41104(10) or on any alleged unreasonable refusal to deal or negotiate; in fact, Section 41104(10) is not referenced at any point in Complainants’ Response or Reply. Complainants take exception, and urge that “complainants may stand on the allegations set forth within the Complaint as supplemented by the Certification of Maxim Ostrovskiy.” Exceptions, at p. 11. In other words, Complainants essentially argue that in response to a Show Cause Order, a party need only re-submit the Complaint (which insufficiency necessitated the Show Cause Order in the first instance) without tying it to any legal cause of action, and it the burden is on the ALJ or Commission (and the respondents) to puzzle out how or why a Shipping Act violation is alleged. Quite clearly, the

burden on a Show Cause Order is on Complainants, and no one else, and in failing to take up the burden, ALJ Guthridge correctly found that Complainants had abandoned their Section 10(b)(10) claim.

Notwithstanding that Complainants' arguments now are improper to the filing of Exceptions, which require an indication of alleged errors in the Initial Decision, not the raising of *new arguments*, Complainants have not alleged a refusal to deal because Complainants have not alleged facts sufficient to show that MTL was acting as a common carrier. Because MTL was not acting as a common carrier with respect to the Mercedes, i.e., there was no booking of an export shipment by Complainants, Section 10(b)(10) does not apply.

VI. THE PROCEEDING IN FMC DOCKET NO. 15-04 DOES NOT INVOLVE THE SAME SUBJECT MATTER AS THE INSTANT PROCEEDING.

As a final matter, though not relevant nor material, Complainants are incorrect, or are being disingenuous, in stating that the Mercedes and Porsche at issue in this proceeding "are also the subject of Docket No.: 15-04." Exceptions, at p. 7.

In making this representation to the Commission and to the ALJ, Complainants ignore that the Complaint in *Crocus v. Marine Transport Logistics, et al.*, FMC Docket No. 15-04 and subject matter of that FMC proceeding did not involve the Mercedes or Porsche. The starting point for evaluating Complainant's claim that the Mercedes and Porsche "are also the subject of Docket No. 15-04", as represented by Complainants, must be the *Complaint*. In this regard, neither the Mercedes nor Porsche were a subject of the Complaint. The subject matter and claim in Docket No. 15-04 involved only three *boats*. Resp. Appx. "6", Complaint in FMC Docket No. 15-04, at ¶¶ 12, 15.

Furthermore, on May 13, 2016, ALJ Guthridge held a telephone hearing between the parties on Docket No. 15-04. Resp. Appx. “7”⁵. During the hearing, (complainant) Crocus’ counsel was asked to explain the “relevance to this proceeding” of the Mercedes and Porsche. Resp. Appx. “7”, at 40:4 – 40:10. Crocus’ counsel spoke at length about how the Mercedes and Porsche, *inter alia*, “gives us a little background on the parties relationship . . .” Resp. Appx. “7”, at 40:21 – 41:07. However, upon direct questioning by ALJ Guthridge, Crocus conceded that the Mercedes and Porsche were “just background” and not “directly” related to the proceeding:

JUDGE GUTHRIDGE:

What does it [the Mercedes and Porsche] have to do with whether or not the respondents, as you allege in your complaint, failed to establish, observe and enforce just and reasonable regulations and practices related to or connected with the receiving, handling, storing or delivering of property, *meaning the boats*.

MS. TARASSOVA [Crocus’ counsel]:

It is just background, Your Honor, I don't think it goes directly to that.

Resp. Appx. “7”, at 42:8 – 42:17 (emphasis added)

Perhaps Complainants’ counsel *now* wants to interject the Mercedes or the Porsche into Docket No. 15-04. However, that is clearly not the same as Complainants’ stating that the Mercedes or Porsche are “also the subject” of Docket No. 15-04, when the Mercedes and Porsche are not part of the Docket No. 15-04 Complaint and are not directly related to any claim of a Shipping Act violation in Docket No. 15-04. Any argument otherwise is merely a

⁵ Because of the voluminous transcript, Respondents’ Appendix provides only pages 40-42, beginning when ALJ Guthridge questioned Complainants about the relevance of the Mercedes on page 40 and ending on page 42, upon Complainants’ counsel’s statement that the Mercedes and Porsche are “just background.”

smokescreen to confuse issues and delay the dismissal of Complainants' non-Shipping Act claims.

VII. CONCLUSION.

For the foregoing reasons, Complainants' Exceptions should be denied, and ALJ Guthridge's Initial Decision should be affirmed and approved in its entirety.

Dated: March 2, 2017
New York, NY

Respectfully submitted,
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Stephen H. Vengrow
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CERTIFICATE OF SERVICE

The undersigned declares under penalty of perjury that the following is true and correct:

1. I am over the age of eighteen years and I am not a party to this action.
2. On March 2, 2017, I served a complete copy of Respondent's REPLY TO COMPLAINANTS' EXCEPTIONS TO THE JANUARY 17, 2017 INITIAL DECISION and RESPONDENT MARINE TRANSPORT LOGISTICS, INC.'S APPENDIX OF DOCUMENTS IN REPLY TO COMPLAINANTS' EXCEPTIONS TO THE JANUARY 17, 2017 INITIAL DECISION in Docket No. 16-16 by mailing same to the below parties by U.S. Mail and by e-mail to:

Original plus 5 copies to:

Secretary, Federal Maritime Commission
800 N. Capital St., NW.
Washington DC 20573-0001
secretary@fmc.gov

Copy only to:

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Eric Chang

Dated: March 2, 2017
New York, New York